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Data Governance in Banking: Benefits, Challenges & Capabilities in 2025

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Data governance in banking refers to **the framework and practices that ensure data within financial institutions is accurate, secure, consistent, and compliant with regulatory standards.**

With data playing a critical role in operations like customer management, risk assessment, and fraud detection, governance is essential for trust and efficiency.

Banks face challenges such as complex data ecosystems, real-time decision-making needs, and regulations like GDPR and Basel III.

Effective governance involves clear policies, data ownership, and strong security measures.

By maintaining high data quality, banks can reduce risks, enhance efficiency, improve customer service, and drive business growth.

Effective data governance in banking ensures the availability, accuracy, cleanliness, and high quality of data, supporting a bank's operations and offerings.

This article explores how banks can benefit from proper data governance, covering key regulations, business outcomes, and the essential capabilities needed for proper implementation.

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What is data governance for banking?

"Data governance helps banks to manage their data assets and provide a structure for data governance policies that govern data access, data quality, and data security." - Fintech News explains the role of data governance for banking

Effective data governance for banking institutions helps in establishing rules, policies, processes, principles, and obligations around the use of data. According to the World Bank, the role of data governance is two-fold:

1. **Control risks** by ensuring the security, integrity, and protection of data and systems
2. **Capture value** by establishing rules and technical standards to facilitate efficient data transfer, combination, and exchange

Data governance for banking: What's driving the need?

> ***"Often firms do not know how their data is used, and by whom within the firm."* - EY on the need for data governance in banking**

As banks handle massive amounts of sensitive data, governance frameworks become essential. Without them, banks face significant risks, including compliance failures, security breaches, and operational inefficiencies.

Key drivers for data governance in banking include:

- Siloed, inconsistent data
- Compliance risks
- Data security, privacy, and integrity issues
- Difficulties in data sharing and interoperability
- Lost business opportunities from poor governance

1. Siloed, inconsistent data

Banks rely on multiple systems—from core banking software to CRM platforms—often leading to data silos. These isolated systems create fragmentation, making it hard to get a unified view of customer and operational data.

2. Compliance risks

The banking industry is heavily regulated, with laws like GDPR, Basel III, and AML governing data usage. Non-compliance can result in severe penalties and reputational damage.

For instance, UK banks incurred fines totaling **$222.16 million** (£178 million) between June 2022 and June 2023, according to Finbold. The UK's banking industry has been facing increased scrutiny, leading to unprecedented regulatory fines.

> *"Fines on financial institutions are projected to grow in the coming years, as the U.S. and other countries reform existing regulations…Overall, new and complex regulations are proving to be a challenge for the compliance departments."* - Oliver Scott, chief editor at Finbold

3. Data security and privacy issues

> *"Financial services businesses will often hold huge amounts of data they collect as part of their client onboarding process such as debit and credit card numbers, passports, address information, and other ID documents. This data is highly valuable and is regularly traded on the dark web."* - Ben Marsh, class underwriter at insurance company Chaucer

As custodians of sensitive financial data, banks are frequent targets of cyberattacks. These attacks can undermine trust in banking institutions, disrupt critical services, and even lead to market sell offs or runs on banks.

4. Difficulties in data sharing and interoperability

Banks frequently collaborate with third parties, such as payment processors, credit agencies, and technology vendors. However, different systems and data formats can lead to inefficiencies when data needs to be shared or integrated. This misalignment can delay operations and create errors in transaction processing.

5. Lost business opportunities from poor governance

Data-driven innovation is key to staying competitive in banking, but poor data management can slow down innovation. Banks seeking to offer personalized services like AI-based financial advice or advanced risk assessments may struggle if they can't efficiently access or unify their data.

Moreover, the pressure to drive business growth using data can also have adverse consequences, as pointed out by this EY report on data governance for banking and financial institutions.

> ***"There is an increasing trend of firms trying to explore new ways to monetize their data, adding extra pressure to innovate and sell the insights from the data they hold. This increases the risk of unintentional data abuse."***

The [2024 Banking & Capital Markets Survey by Deloitte] states that US banks allocated over $5 billion to data initiatives in 2023, prioritizing generative AI for efficiency, automation, data governance, and hyper-personalization to stay competitive and avoid falling behind. But there were several roadblocks. 92% of respondents cited delays in data retrieval, 88% cited poor integration, 81% highlighted quality issues, and 53% lacked the technical skills to effectively use available data.

The business benefits of data governance for banking

Data governance offers banks several significant benefits, such as:

- **Regulatory compliance**: With data governance, banks can automate compliance reporting, maintain audit trails, and ensure adherence to regulations across regions.
- **Better data privacy and security**: Data governance helps banks protect customer data by implementing policies for data masking, encryption, and role-based access control (RBAC). By tracking data lineage, banks can monitor how data flows through systems, identify vulnerabilities, and mitigate risks.
- **Operational efficiency**: Effective data governance ensures that data is consistent, accessible, and discoverable across departments, reducing the time spent searching for information and resolving data-related issues.
- **Business growth and innovation**: Data governance ensures that data is reliable and accessible, while also deterring poor data sharing and use. So, banks can launch new products, enhance customer experiences, and leverage AI for advanced analytics, without breaking any data-specific regulations.

These benefits might sound generic and vague, so we're **presenting two case studies of banks that reaped business benefits as a result of solid data governance** – Austin Capital Bank and Porto.

1. How Austin Capital Bank enabled effective data governance with Atlan

As mentioned earlier, banks hold a large amount of sensitive customer data, including addresses, names, birth dates, social security numbers, and account numbers. This makes them vulnerable to cyberattacks.

The first step to ensuring better data security, privacy, and use is to "*make sure that only the right people within our organization have access to it*," according to Ian Bass, Head of Data & Analytics. The solution was to create masking policies that ensure only authorized personnel got access to sensitive data.

Austin Capital Bank used Atlan as an interface on top of Snowflake to get visibility on who has access to what.

> *"Atlan's how we control access in an easily repeatable fashion. And then the fact that we have data lineage on top of it, and the ability to organize all of our information and classifications, and add glossary terms linked to that data? That's all icing on the cake for us."* - Ian Bass, Head of Data & Analytics

2. How Porto automated the governance of over 1 million data assets, saving 40% of their time

Brazil's **Porto**, a leading bank and insurance company, needed a solution to manage and make sense of their vast troves of data spread across dozens of business domains.

Porto has roughly 14,000 employees, and has been in operation since 1945, leading to siloed infrastructure and knowledge. Obtaining context on data meant scouring the organization, attempting to find the subject matter expert that could answer their questions.

The team was searching for a user-friendly, collaborative data catalog that acted as "*a single pane of glass to discover, understand, and apply Porto's data, in less time than ever before*." The catalog should also cater to the emerging requirements from switching to a federated data governance model, and so the team chose Atlan.

Using Atlan's rule-based automation, Porto's team could reduce the manual effort they once spent defining asset owners, enriching data assets, and securing sensitive data. They could:

- Automatically assign the business domain or team responsible as the owner of each data asset
- Automatically classify and document context (using metadata) for over 1 million data assets
- Automate compliance by auto-tagging PII data (per the Brazilian LGPD laws)
- Build a complete lineage graph for upstream and downstream data assets, driving true end-to-end lineage

> *"If we consider everything we're doing now with Atlan compared to before we had Atlan, we are saving 40% in efficiency, in terms of time and expensive operational tasks for everything related to governance. This is a 40% reduction of five people's time."* **- Danrlei Alves, Senior Data Governance Analyst**

Key capabilities that can drive effective data governance for banking

To successfully implement data governance, banks should adopt technologies and processes that offer key governance capabilities, such as:

- Automated **compliance management** – audit trails, versioning, risk assessments, regulatory reporting
- **Data contracts** that establish clear agreements between data producers and consumers, outlining the expectations, responsibilities, and quality standards for data usage

- Effective **metadata management** that captures, describes, and manages all types of metadata, and automates metadata ingestion, classification, and sync for data tracking at scale
- End-to-end **data lineage** from source to destination (across systems, column, tables, transformations), helping banks understand where data originates and how it flows through their systems
- Granular **access control**, encryption, and personalized data masking and anonymization policies to proper data stewardship
- AI-assisted **policy creation** that helps analyze existing data, suggest appropriate policies, and automate policy updates
- Automated data asset **documentation**, **tagging**, and **classification** to drive data governance at scale
- **Real-time incident alerts** notify relevant stakeholders about policy incidents and breaches as they happen (and not years later)
- Easy **integration** with your data stack using out-of-the-box connectors for data products in your data stack (data sources, data movement tools, BI tools, etc.)
- **Collaboration** capabilities (threads, comments, alerts, mentions, user tagging)
- Easy **deployment** (across on-premise, public cloud, SaaS, multi-cloud, etc.), **adoption**, and quick **time-to-value**

Data governance for banking: Vital for growth, compliance, and data security at scale

Effective data governance is crucial for managing the complexities of modern banking.

By addressing challenges like siloed data, compliance risks, and cybersecurity threats, governance frameworks help banks operate more efficiently, innovate responsibly, and protect customer data.

As banking continues to evolve, data governance will act as a cornerstone of sustainable growth and regulatory compliance.

Also, read → ESG data governance for banks | Data and analytics edge in corporate and commercial banking | Navigating data governance challenges in modern day banking and finance sector

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How organizations making the most out of their data using Atlan

The recently published Forrester Wave report compared all the major enterprise data catalogs and positioned Atlan as the market leader ahead of all others. The comparison was based on 24 different aspects of cataloging, broadly across the following three criteria:

1. Automatic cataloging of the entire technology, data, and AI ecosystem
2. Enabling the data ecosystem AI and automation first
3. Prioritizing data democratization and self-service

These criteria made Atlan the ideal choice for a major audio content platform, where the data ecosystem was centered around Snowflake. The platform sought a "one-stop shop for governance and discovery," and Atlan played a crucial role in ensuring their data was "understandable, reliable, high-quality, and discoverable."

For another organization, Aliaxis, which also uses Snowflake as their core data platform, Atlan served as "a bridge" between various tools and technologies across the data ecosystem. With its organization-wide business glossary, Atlan became the go-to platform for finding, accessing, and using data. It also significantly reduced the time spent by data engineers and analysts on pipeline debugging and troubleshooting.

A key goal of Atlan is to help organizations maximize the use of their data for AI use cases. As generative AI capabilities have advanced in recent years, organizations can now do more with both structured and unstructured data—provided it is discoverable and trustworthy, or in other words, AI-ready.

Tide's Story of GDPR Compliance: Embedding Privacy into Automated Processes

- Tide, a UK-based digital bank with nearly 500,000 small business customers, sought to improve their compliance with GDPR's Right to Erasure, commonly known as the "Right to be forgotten".
- After adopting Atlan as their metadata platform, Tide's data and legal teams collaborated to define personally identifiable information in order to propagate those definitions and tags across their data estate.
- Tide used Atlan Playbooks (rule-based bulk automations) to automatically identify, tag, and secure personal data, turning a 50-day manual process into mere hours of work.

Book your personalized demo today to find out how Atlan can help your organization in establishing and scaling data governance programs.

FAQs about data governance in banking

1. What is data governance in banking?

Data governance in banking refers to the framework and processes that ensure the availability, accuracy, security, and proper management of data within financial institutions. It helps banks manage data as a valuable asset while ensuring compliance with regulations.

2. Why is data governance important in the banking industry?

Data governance is crucial for ensuring regulatory compliance, enhancing data security, improving decision-making, and driving innovation. It also helps banks mitigate risks associated with data breaches and inaccuracies.

3. What regulations impact data governance in banking?

Banks must comply with regulations like BCBS 239, GDPR, Basel III, and PCI DSS, which govern data privacy, risk management, and payment security. Effective data governance frameworks ensure adherence to these standards.

4. How does data governance improve banking operations?

Data governance enhances operational efficiency by providing accurate and reliable data. It helps streamline processes, reduce data redundancy, and improve customer service through better data insights.

5. What are the key challenges of data governance in banking?

Key challenges include managing large volumes of data, ensuring compliance with complex regulations, and overcoming organizational silos. Banks also face difficulties in maintaining data quality and fostering a data-driven culture.

6. How can banks ensure compliance with data governance standards?

Banks can ensure compliance by implementing robust data governance frameworks, conducting regular audits, and using automated tools to monitor and enforce data policies. Training employees on regulatory requirements is also essential.

Data governance for banking: Related reads

- What is Data Governance? Its Importance, Principles & How to Get Started?
- Data Governance in Fintech: Outcomes & Best Practices
- Financial Data Governance: Strategies, Trends & Best Practices
- Key Objectives of Data Governance: How Should You Think About Them?
- Data Governance Strategy: How To Get Started?
- Data Governance Framework: Examples, Templates, Standards, Best Practices & How to Create One?
- Data Governance and Compliance: Act of Checks & Balances
- How to implement data governance? Steps, Prerequisites, Essential Factors & Business Case
- How to Improve Data Governance? Steps, Tips & Template
- 7 Steps to Simplify Data Governance for Your Entire Organization
- Automated Data Governance: How Does It Help You Manage Access, Security & More at Scale?
- Enterprise Data Governance: Basics, Strategy, Key Challenges, Benefits & Best Practices

- Data Governance in Insurance: Why is it Important and How it Drives Positive Business Outcomes
- Data Governance in Healthcare: Benefits, Framework, and Tooling
- Metadata Management: Benefits, Automation & Use Cases
- Data Governance Policy: Examples & Templates
- Unlocking Data Governance with Data Lineage
- 10 Data Governance Challenges & How to Overcome Them!
- Data Privacy vs. Data Security: Definitions and Differences
- What is Data Reliability? Examples, How to Measure & Ensure!
- Data Compliance: Everything You Need to Know in 2025!
- Data Compliance Management: Concept, Components, Steps (2025)

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